

38 Monitoring

9 primary questions | Oldest to newest

2026 objectives: 5.3.4-5.3.5

2 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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CA1-P1 September 2007 Q7	19 marks
CA1-P1 September 2008 Q5	21 marks
CA1-P1 September 2010 Q2	9 marks
CA1-P1 September 2011 Q7	21 marks
CA1-P1 April 2014 Q7	21 marks
CP1-P1 September 2019 Q8	18 marks
CP1-P1 April 2022 Q4	9 marks
CP1-P1 April 2023 Q4	7 marks
CP1-P1 September 2024 Q11	15 marks

CA1-P1 | September 2007 | Q7

Current topic | 19 marks total | Original PDF p3

Related: Ch 19.

- 7** A life insurance company launched a conventional without profits critical illness term assurance contract ten years ago. After low sales in the early years, the volume of new business sold has risen significantly in the last three years. Under the contract no benefit is payable on death or lapse. The company is about to review the profitability of the contract.
- (i) Explain how the company would analyse the critical illness claims experience since the product was launched. [9]
 - (ii) Describe how the company would use the results of this analysis to set assumptions for assessing the profitability of the contract. [3]
 - (iii) Explain why the results of this analysis may not be indicative of future experience. [7]
- [Total 19]

CA1-P1 | September 2008 | Q5

Current topic | 21 marks total | Original PDF p3

Related: Ch 21, Ch 37.

5 A general insurance company writes a range of business.

- (i) Specify the levers that management can use to try to increase the amount of profit or reduce potential losses. [6]
- (ii) Outline the main reasons for monitoring the actual experience of the business. [3]

The company intends to carry out an analysis of its expense experience for the purpose of product pricing.

- (iii) Describe the factors the company should consider when using the results of this analysis. [6]

Rather than carrying out a new, full analysis, the directors are considering using the results of the previous analysis. They suggest taking the previous expense figures and adjusting them to allow for inflation.

- (iv) Discuss this approach. [6]
- [Total 21]

CA1-P1 | September 2010 | Q2

[Current topic](#) | [9 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

2 Explain why an insurance company would monitor its experience. [9]

CA1-P1 | September 2011 | Q7

Current topic | 21 marks total | Original PDF p4

Related: Ch 37, Ch 20.

- 7** (i) State the reasons for monitoring experience. [3]

An insurance company took over the liabilities for pensioners of a manufacturer's defined benefit scheme three years ago. The manufacturer is based in three locations in different regions of a country. The insurer has carried out an analysis of this contract and the results show that the contract generated a profit for the insurer after the three years. The main reason emerging from the analysis is that the mortality experience was heavier than expected.

- (ii) Describe how the insurer analysed the mortality experience of the contract over the three-year period [8]

- (iii) Suggest other possible reasons why the insurer made a profit on this contract over the three years [4]

The insurer is looking at taking over pensioner liabilities of a number of other companies' defined benefit schemes. The marketing director has indicated that the mortality basis for pricing future contracts should be changed to reflect the heavier mortality experienced by the contract won three years ago.

- (iv) Comment on this suggestion [6]
[Total 21]

CA1-P1 | April 2014 | Q7

Current topic | 21 marks total | Original PDF p4

Related: Ch 2, Ch 4.

7 A large multinational composite insurance company recently started to sell insurance in a country without a developed insurance market. The average income of this country's citizens is low.

(i) Suggest why the insurance company may have entered this market. [2]

(ii) Suggest insurance products which could be suitable to sell in this country. [2]

One year after entering this market, the company has decided to monitor its experience.

(iii) Explain why the company will want to monitor its experience. [4]

(iv) Describe how the company might analyse its experience. [9]

(v) Outline why the results of this analysis should be used with care. [4]

[Total 21]

CP1-P1 | September 2019 | Q8

Current topic | 18 marks total | Original PDF p4

Related: Ch 20.

8 An insurance company only writes term assurance contracts. The company has been monitoring its mortality experience for many years.

- (i) Describe the reasons for monitoring the mortality experience of these contracts. [4]

The mortality experience analysis has shown that the company has been underestimating the actual number of deaths that occurred over the last three years.

- (ii) Discuss the reasons why the mortality experience may have been heavier than expected. [7]

- (iii) Describe how the results of this analysis could be used. [3]

The company's mortality analysis team has raised concerns around selection in relation to these policies.

- (iv) Suggest possible reasons for the selection occurring in these policies. [4]

[Total 18]

CP1-P1 | April 2022 | Q4

Current topic | 9 marks total | Original PDF p2

Related: Ch 18.

- 4** The managers of a large defined benefit pension scheme, which now consists solely of members with pensions in payment, have appointed an actuary to monitor the scheme's mortality experience.
- (i) Outline reasons why the scheme's mortality experience should be monitored. [4]
- (ii) Describe the data the actuary would require to undertake the monitoring. [5]
- [Total 9]

CP1-P1 | April 2023 | Q4

Current topic | 7 marks total | Original PDF p2

Related: Ch 20.

- 4** Following a recent worldwide pandemic, a developed country's government wants to investigate the impact that the pandemic has had on the mortality experience of its public sector pension liabilities.

Discuss how the government can investigate the pandemic's impact on the mortality experience of its public sector pension liabilities. [7]

CP1-P1 | September 2024 | Q11

Current topic | 15 marks total | Original PDF p5

Related: Ch 30.

- 11** An insurance company sells motor insurance to a wide range of customers. The company has decided to focus on insuring electric vehicles only and will no longer offer insurance for non-electric vehicles.
- (i) Suggest reasons why the insurance company may have taken this decision. [3]
 - (ii) Explain why the insurance company should monitor the experience of this electric only business. [4]
 - (iii) Discuss how the results of the monitoring could be used. [4]
 - (iv) Suggest, with reasons, measures that could be put in place by the company to prevent fraudulent claims on this electric only business. [4]
- [Total 15]